

BIC Nigerian Stock Market 101

Babcock Investors Club • Educational Series #2

What is the NGX?

The Nigerian Exchange (NGX), headquartered in Lagos, is Nigeria's official stock exchange the marketplace where shares of public companies (banks, telcos, consumer goods, industrials) are bought and sold. It lists roughly 150+ equities within a broader market of nearly 400 listed securities (including ETFs, REITs and bonds).

How to buy your first stock

1) Open a CSCS account through a SEC-licensed stockbroker. 2) Fund your brokerage account from your bank. 3) Place a buy order a market order buys immediately at the current price; a limit order only fills at a price you choose. 4) Under the T+1 settlement cycle (effective June 2026), trades settle the next business day, and your shares appear in your CSCS account. You receive an electronic contract note as proof.

How the market is regulated

The Securities and Exchange Commission (SEC) regulates Nigeria's capital market under the Investments and Securities Act. It keeps a public register of licensed operators always verify a broker at sec.gov.ng. As of January 2026, brokers must hold a minimum capital base of ₦600 million, strengthening protection for retail investors.

Reading the market

The NGX All-Share Index (ASI) tracks the overall market it is a thermometer, not an instruction. Watch sector performance, company earnings, and interest rates. Learn to read a P/E ratio (price vs. earnings) before judging whether a share is cheap or expensive.

Costs to expect

Brokerage commission (0.75% 1.35%), SEC fee (0.30% buys), NGX fee (0.30% sells), CSCS fee (0.30%), stamp duty (0.08%) and 7.5% VAT total 1.5% 2.5% per trade. Factor fees into your returns.

Key rules for students

Start with money you can afford to lose. Practise with virtual trading like BIC's mock tournaments. Avoid crowd-mentality buying after a rally. Build a watchlist and study two or three companies in depth before ever buying. Remember the NGX -10% daily price limit.

Disclaimer: Educational content only not investment advice.